POLICY BRIEF SERIES

Women in informl Economy:

Challenges and way forward

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EXECUTIVE SUMMARY

we delve into the intricate female-centric earnings disparities in upper and lower Punjab, while this study enriches labor economics literature associated with informal economy, or more precisely is based on female home based workers. ***Upper Punjab*** reveals experience, education, health, and market awareness impacts, while microfinance and education elevate earnings. ***Lower Punjab*** emphasizes education's role alongside experience, as health effects vary. Educational and experiential models wield consistent influence across both domains, stressing education's pivotal role in women's earnings associated with informal economy of Punjab. This prompts a call for policies addressing gender imbalance to foster economic inclusivity, aligning with ***Sustainable Development Goal 5*** for gender equality.

Drawing from a recent study conducted by the University of Lahore's SRGP 2022 Project titled "Working within Confines," this policy brief undertakes a comparative examination of the informal female economy in Upper and Lower Punjab.

The study's core objective is to elucidate regional disparities, extracting data that underscores gender-based wage differences. Simultaneously, it seeks to unravel the intricate interplay of women's empowerment within these delineated geographical boundaries of upper and lower Punjab, Pakistan. The sample encompasses 11,650 female home-based workers from the province. The study scrutinizes pivotal aspects of female earnings by depicting comparative statistics garnered from the data. A comprehensive analysis unfolds, contrasting both regions within various income strata delineated by daily earnings and it's determinants.

COMPARATIVE STATISTICS OF FEMALE INFORMAL ECONOMY IN UPPER AND LOWER PUNJAB

FIGURE 1
EARNINGS AND SCHOOLINGS IN UPPER AND LOWER PUNJAB

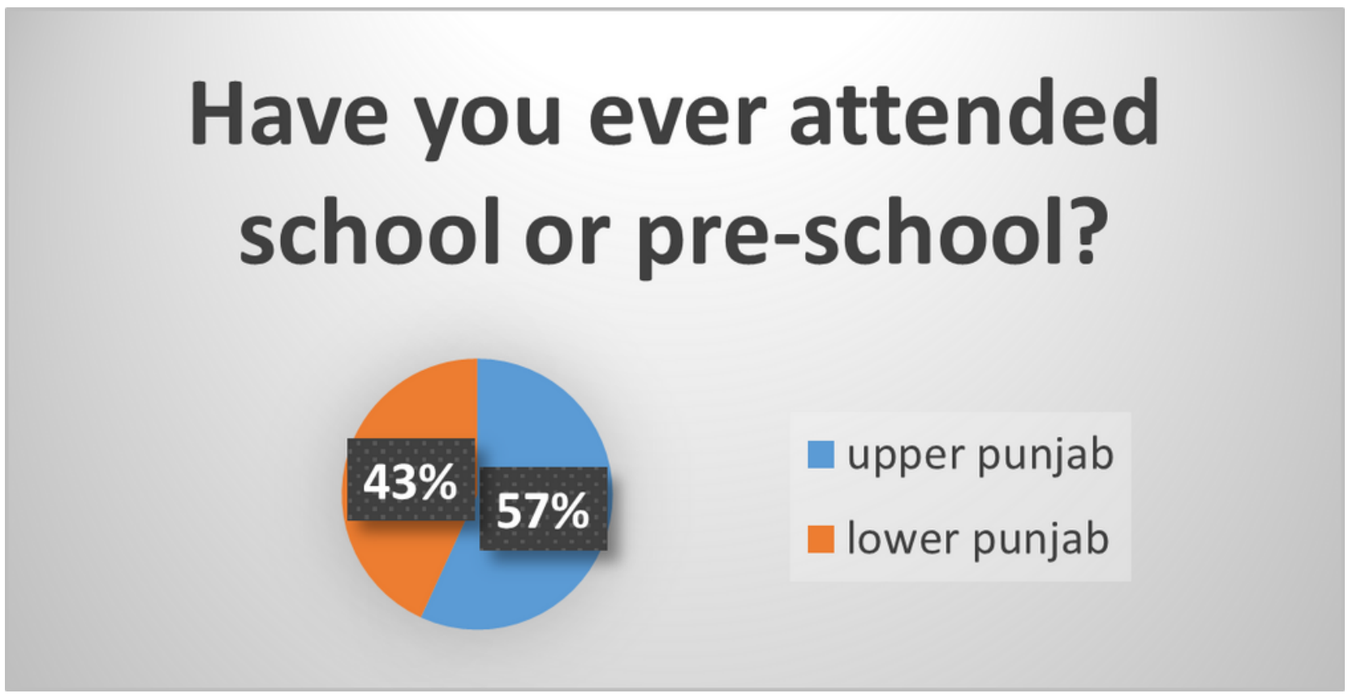


Figure 1 shows that 57% of the total respondents have attended school in upper Punjab, while only 43% have attended school in lower Punjab.

FIGURE 2
EARNINGS AND HEALTH (INJURY/ACCIDENTS) IN UPPER AND LOWER PUNJAB

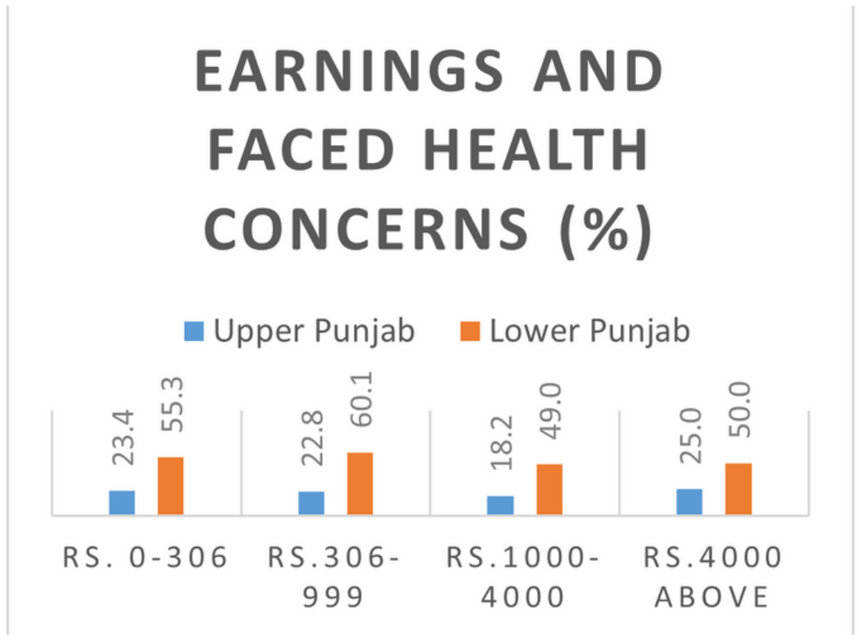


Figure 2 shows the comparisons of earnings and health concerns. In all income categories, female home based workers faced ***more health concerns in lower Punjab*** as compared to upper Punjab.

FIGURE 3
EARNINGS AND TRAININGS IN UPPER AND LOWER PUNJAB

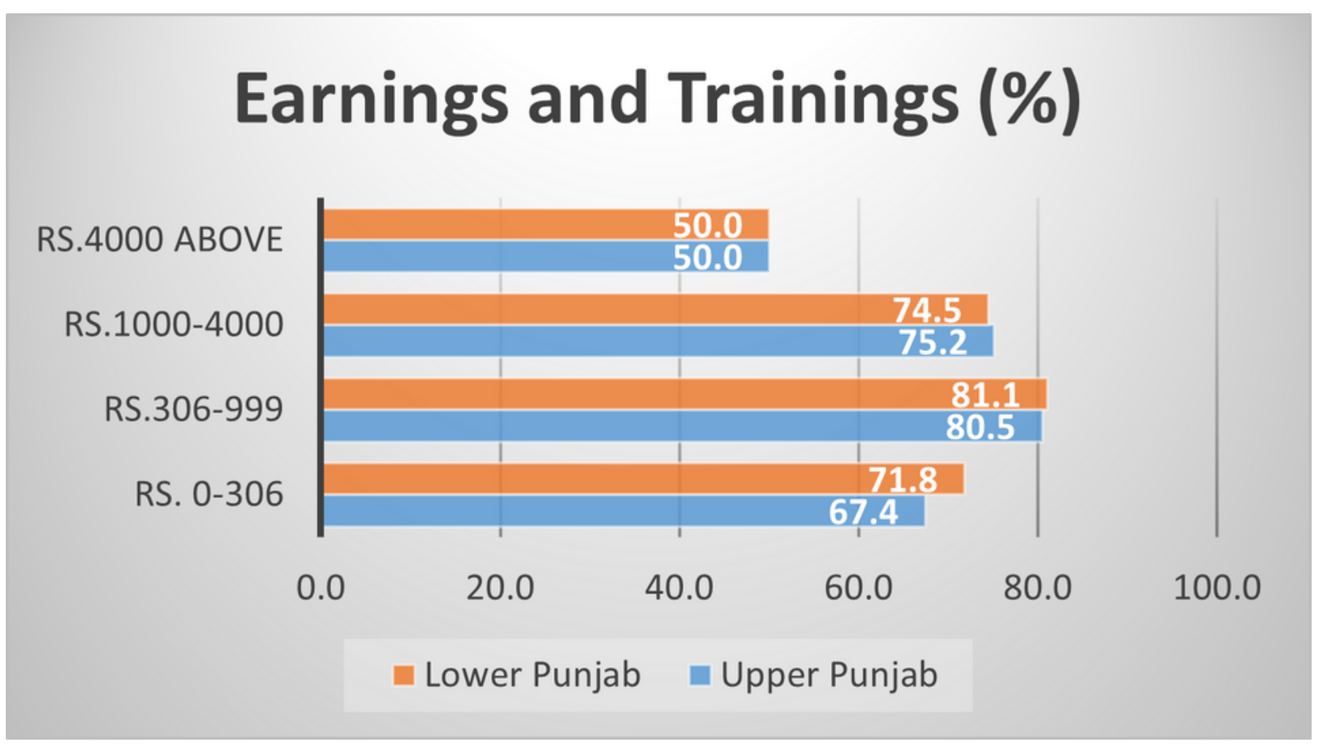


Figure 3 shows the comparisons of earnings and trainings in upper and lower Punjab. The results depict that in the income category of Rs. 0 to 306, nearly 71% of the respondents in upper, while 67 % only in lower Punjab acquired some level of training.

FIGURE 4
EARNINGS AND PRICE KNOWLEDGE IN UPPER AND LOWER PUNJAB

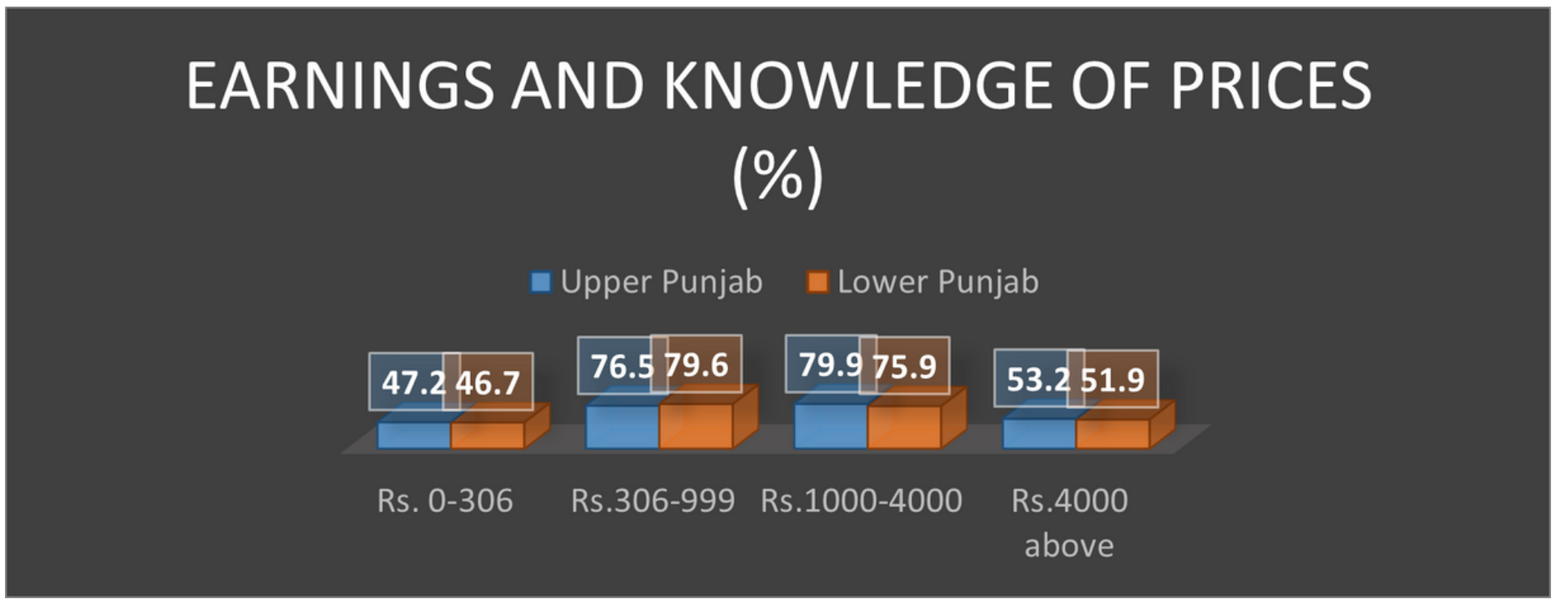
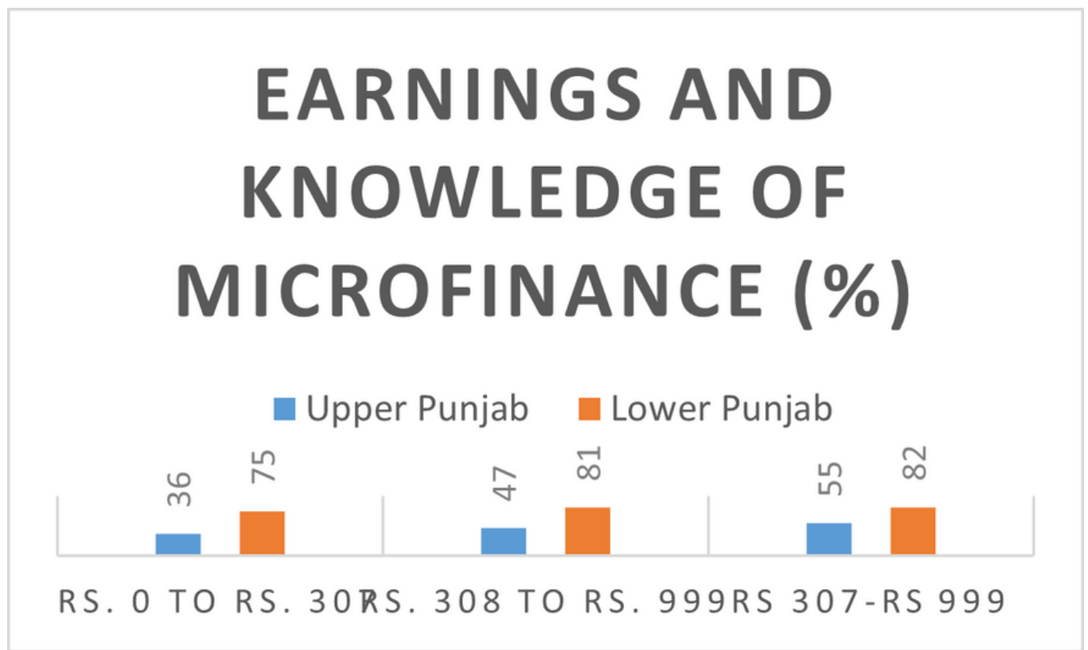


Figure 4 shows the comparisons of earnings and price knowledge in upper and lower Punjab. The result shows that for the income category of rupees 0 to 306, nearly 47% of respondents in upper Punjab, while 46 % in lower have some knowledge regarding their produce's prices.

FIGURE 5 AND 6
EARNINGS AND KNOWLEDGE (MICROFINANCE, HEALTH) IN UPPER AND LOWER PUNJAB



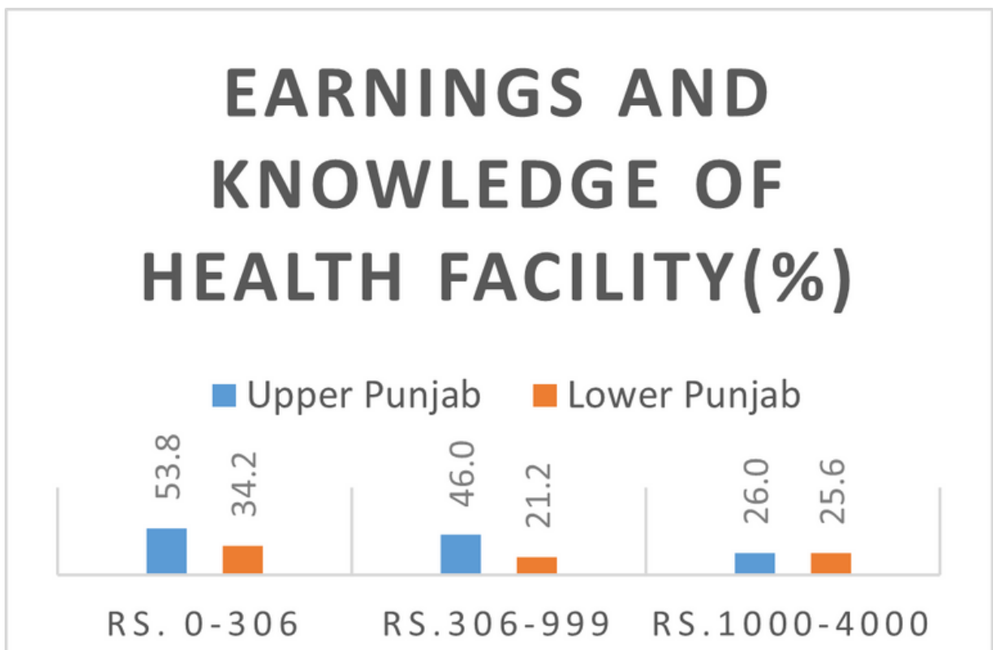


Figure 5 and 6 show the comparisons of earnings and knowledge of microfinance and health facilities in Punjab. The results predict that the knowledge on the mentioned topics is higher in upper Punjab in all three income groups.

Upper Punjab performed better in all categories, across all income groups, when compared to lower Punjab. The categories hold important link to the informal economy of women in the country, and hence are considered in the study when making the comparison. It gives an insight into the poor positive response rate to the access of education, training and necessary knowledge, especially in lower Punjab. To identify the contributing nature of the discussed elements of female home-based worker's earning, the study provides further comparative analysis to measure the significant impact of the determinants in upper and lower region of the province.

KEY FINDINGS AND RESULTS

The interpretation and results are derived on the basis of regression analysis applied on the determinants using four models, which are briefly explained below. The models are used for both regions to measure the differences in the significance of multiple factors like health effect, education effect, and role of experience on female home-based worker's earnings.

Model 1

Earnings = f (Age, age square, education1, trainings, price knowledge, knowledge of health facility, knowledge of microfinance)

Model 2

Earnings = f (Age, age square, trainings, price knowledge, knowledge of health facility, knowledge of microfinance)

Model 3

Earnings = f (trainings, price knowledge, knowledge of microfinance, education2, health status, experience, experience square)

Model 4

Earnings = f (trainings, price knowledge, knowledge of health facility, knowledge of microfinance, highest education qualification, experience, experience square)

Dependent Variable:

Earnings = hourly earnings from current (main) work?

Independent Variable:

The role of experience is measured by age, experience, age square and experience square.

1experience= How long have you been associated to the current (main) work?

2.experience square= squared term of experience

3.Age= age of respondent

4.Age square = squared term of Age

The education effect is captured by education1, education2 and trainings, where;

1.Trainings = Did you get any training for the current (main) work?

2.Education1= Have you ever attended school or pre-school?

3.Education2 = What is the highest education qualification you have attained?

The effect of Health is measured by health status and knowledge of health facilities .

1.Health status= Did you suffer any type of disease due to current / additional work?

2.Knowledge of health facilities= Is there any govt. hospital / dispensary in your area?

The vector of control variables:

(Z): knowledge of market measured by knowledge of microfinance and price.

According to model 1, schooling, trainings, and the knowledge of health facilities have a significant impact on the earnings of female home-based workers in the province irrespective of their income group. Price of products has a greater impact in upper as compared to that in lower province. Health facilities can also substantially improve the work life and the earnings of the workers, positively impacting the earnings in upper Punjab.

. Model , 2, 3 and 4 report similar results that state the significant impact of all variables on earnings in upper Punjab except health. However, only age, highest qualification and education have influence on earnings in lower Punjab. Model 4, gives the exact interpretation, but the case for lower Punjab differs from previous two models, where experience, schooling and knowledge of health facilities are instead marked as major elements of earning.

POLICY RECOMMENDATIONS

Based on the results presented, which compare the impact of the determinants of women's earnings in upper and lower Punjab, the following policy recommendations may be put here;

1.Investment in Education and Training

To empower women economically, policymakers should focus on improving access to quality education and vocational training programs that are tailored to the needs of home-based workers in both upper and lower Punjab.

2. Enhancing Knowledge of Market and Prices

The knowledge of market prices and microfinance facilities significantly influences earnings. Workshops, training sessions, and awareness campaigns can be organized to educate women about price fluctuations and financial opportunities.

3. Improving Health Facilities

Access to quality healthcare services can improve the overall well-being of female home-based workers and reduce health-related issues that affect their productivity. Governments and organizations should work towards improving healthcare infrastructure .

4. Targeted Interventions for Lower Punjab

The study reveals that factors affecting earnings vary between upper and lower Punjab. In lower Punjab, experience, schooling, and knowledge of health facilities are significant determinants of earnings.

5. Support for Microfinance

Microfinance knowledge has a positive impact on earnings in both regions. Governments and NGOs can collaborate to promote microfinance awareness and provide easy access to credit and financial services for women engaged in home-based work.

6.Focus on Health and Well-being

Since health status and injuries impact earnings, programs should be initiated to improve the overall health and safety of home-based workers. Awareness campaigns about workplace safety, and access to healthcare services can contribute to healthier and more productive work environment.

7.Data-Driven Policies

Policymakers should continue to collect and analyze data on home-based workers' demographics, earnings, and factors affecting their livelihoods. This will enable evidence-based policy formulation and ensure that interventions are tailored to the specific needs.

8.Gender Sensitivity

Policies should be designed with a gender-sensitive approach, providing supportive infrastructure, childcare facilities, and addressing gender-based discrimination will contribute to better working conditions and increased earnings.

9. Collaboration and Awareness

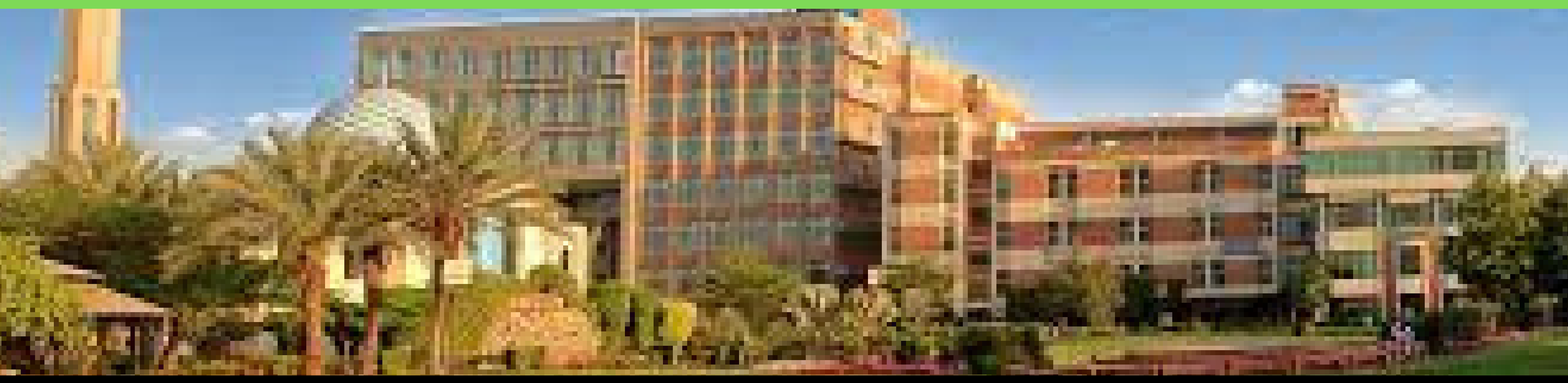
Governments, NGOs, and other relevant stakeholders should collaborate to implement these recommendations effectively. Additionally, raising awareness among home-based workers about their rights, and opportunities for skill development can empower them.

10.Continued Research

Research is crucial to understand the changing dynamics of home-based work. Regular studies and assessments will help policymakers stay updated on the challenges and opportunities faced by women in this sector, enabling them to adapt policies accordingly.

CONCLUSION

Above policy recommendations aim to enhance the economic empowerment of female home-based workers in both upper and lower Punjab. By addressing education, training, healthcare, market knowledge, and other relevant factors, policymakers can create an environment that supports women's economic growth and their overall well-being, leading to a more inclusive society.



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